RETENTION PLAYBOOK

A Data-Driven Customer Retention & Promotional Optimization Strategy for a D2C Fashion Brand

Project Overview

This playbook translates customer purchase behavior into a practical retention strategy, identifying discount dependency, loyalty drivers, and high-value customer segments. The objective is to reduce promotional reliance while increasing full-price purchasing and long-term customer value.

Business Challenge

Can the brand reduce its dependence on discounts without sacrificing customer retention and revenue growth?

Dataset Snapshot

Metric	Value
Customers Analyzed	3,900
Variables	18
Loyal Customers	42.6%
Promo-Dependent Customers	43.0%
Average Customer Spend	$59.76

Tools & Methods : SQL • Python • Power BI • Customer Analytics • Segmentation

Why the Current Strategy Needs to Evolve

Current Reality	Business Impact
43% of customers purchase only with discounts	Revenue remains dependent on promotional activity
42.6% of customers buy at full price and repeat frequently	Strong foundation for loyalty-led growth
Promotions are applied across both groups	Margin is being spent on customers who may buy anyway

Key Insight : The challenge is not customer acquisition. The challenge is shifting customer behavior from discount-driven purchasing to brand-driven purchasing without sacrificing revenue.

12-Month Promotional Transition Plan

Phase	Target Segment	Key Action	Success Goal
Month 0–1	Loyal Customers	Launch Brand Insiders	Establish loyalty baseline
Month 1–3	High-Value Promo Users	Replace discounts with Brand Credits	Reduce promo reliance
Month 3–6	Mid-Tier Promo Users	Shift to Outerwear-led offers	Drive full-price purchases
Month 6–9	Low-Tier Promo Users	Replace discounts with referrals & bundles	Improve margin quality
Month 9–12	Entire Customer Base	Scale loyalty program & regional growth	Sustain long-term retention

Expected Trade-Offs

- Short-term revenue volatility is expected.
- Some promo-dependent customers may churn.
- Margin improvement should outweigh volume loss over time.

Success Metrics Dashboard

KPI	Current	Target
Promo Dependency	43%	<25%
Loyal Customer Share	42.6%	55%+
Full-Price Repurchase Rate	Baseline	+30%
Brand Insiders Retention	-	80%+
Gross Margin / Customer	Baseline	+8%
Organic Customers (AZ, KS, TN)	-	200+

Risk Control: Pause the current phase if monthly revenue declines by more than 15% versus the same period last year.

Ideal Customer Profile (ICP)

Attribute	Profile
Age	36–57
Avg Order Value	$72.20
Previous Purchases	34
Rating	4.2 / 5
Purchase Frequency	Weekly–Monthly
Payment Method	Credit Card
Loyalty Status	Full-Price Buyer
Geography	AZ, KS, TN, MT

What Makes This Customer Valuable?

- Purchases without relying on discounts.
- Engages across multiple product categories.
- Maintains high satisfaction levels.
- Demonstrates repeat purchasing behavior.
- Responds to brand value rather than price incentives.

Acquisition Strategy

Target More Customers Like This By:

✓ Promoting quality, exclusivity and product value

✓ Using subscription-first campaigns

✓ Offering early access and loyalty benefits

✗ Avoiding discount-first acquisition messaging

✗ Avoiding heavy promotional campaigns

Recommended Business Strategy

Immediate Priorities

1. Launch Brand Insiders loyalty program.
2. Freeze discount-first acquisition campaigns.
3. Pilot Brand Credits for high-value promo users.

Medium-Term Priorities

1. Move promotions toward category-specific offers.
2. Use Outerwear as the primary retention gateway.
3. Increase full-price purchase behavior.

Long-Term Priorities

1. Reduce promo dependency below 25%.
2. Grow the loyal customer base above 55%.
3. Expand organically in Arizona, Kansas and Tennessee.

Final Recommendation

The business already has a strong foundation of 1,660 loyal customers. The objective is not to eliminate promotions overnight, but to gradually make discounts less central to the customer relationship while strengthening loyalty, retention, and full-price purchasing behavior.